

# ***Moradi-Shalal* Common-Law Carve-Out — Exact Citation and Legal Analysis**

**Subject.** Verbatim extraction and doctrinal validation of the passage in *Moradi-Shalal v. Fireman's Fund Insurance Companies* (1988) 46 Cal.3d 287, in which the California Supreme Court — while overruling *Royal Globe Ins. Co. v. Superior Court* (1979) 23 Cal.3d 880 and barring private actions under Insurance Code section 790.03, subdivision (h) — **expressly preserved** the right of insureds and third-party claimants to sue an insurer on traditional common-law theories (fraud, intentional infliction of emotional distress, breach of contract, and breach of the implied covenant of good faith and fair dealing) where the insurer's conduct, in addition to violating the Insurance Code, also satisfies the elements of an independent common-law cause of action.

**Terminology note.** This memorandum uses “carve-out” as the conventional commentator's shorthand for paragraph [10] of *Moradi-Shalal*. The California Supreme Court did **not** itself label the passage a “carve-out”; the more neutral and doctrinally accurate descriptions are **preservation clause** or **clarification of non-preemption** — i.e., a clause confirming that the Court's overruling of *Royal Globe* did not preempt or displace independent common-law remedies. The “carve-out” label is advocacy framing, not the Court's own terminology, and is used here for ease of cross-reference only. A reader should not infer from that label that *Moradi-Shalal* affirmatively created a new species of liability or that it shielded common-law claims from the ordinary pleading-and-proof rigor that California courts apply to fraud, IIED, breach-of-contract, and bad-faith claims generally.

**Scope-of-immunity note.** *Moradi-Shalal* **does** immunize insurers from one specific category of liability: direct private enforcement of Insurance Code section 790.03(h) by a private litigant. The accurate statement is therefore not “no immunity,” but “no immunity from *independent* common-law liability” alongside “clear immunity from a *statutory private right of action under § 790.03(h)*.” The two statements operate together; neither cancels the other.

**Primary controlling authorities.** 1. *Moradi-Shalal v. Fireman's Fund Ins. Companies* (1988) 46 Cal.3d 287, 304–305 [758 P.2d 58; 250 Cal.Rptr. 116] (the carve-out). 2. *Manufacturers Life Ins. Co. v. Superior Court* (1995) 10 Cal.4th 257 [40 Cal.Rptr.2d 901; 893 P.2d 1143] (Cartwright Act + UCL claims survive *Moradi-Shalal* where independently actionable). 3. *Zhang v. Superior Court* (2013) 57 Cal.4th 364 [159 Cal.Rptr.3d 672; 304 P.3d 163] (UCL claims survive where the insurer's conduct is independently wrongful, e.g., common-law fraud). 4. *State Farm Fire & Casualty Co. v. Superior Court (Allegro)* (1996) 45 Cal.App.4th 1093 [53 Cal.Rptr.2d 229] (the carve-out, applied at demurrer). 5. *Lazar v. Superior Court* (1996) 12 Cal.4th 631 [49 Cal.Rptr.2d 377; 909 P.2d 981] (fraud particularity).

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## **I. The Exact Controlling Passage (verbatim)**

The dispositive language appears in part V of the majority opinion, marginal paragraph mark [10], beginning at the bottom of 46 Cal.3d 304 and continuing on 305. It reads, *verbatim*:

“[10] Moreover, apart from administrative remedies, the courts retain jurisdiction to impose civil damages or other remedies against insurers in appropriate common law actions, based on such traditional theories as fraud, infliction of emotional distress, and (as to the insured) either breach of con-

tract or breach of the implied covenant of good faith and fair dealing. Punitive damages may be available in actions not arising from contract, where fraud, oppression or malice is proved. (See Civ. Code, § 3294.) In addition, prejudgment interest may be awarded where an insurer has attempted to avoid a prompt, fair settlement. (See *id.*, § 3291.) Finally, nothing we hold herein would prevent the Legislature from creating additional civil or administrative remedies, including, of course, creation of a private cause of action for violation of section 790.03. We hold, however, that thus far the Legislature has not manifested an intent to create such a private cause of action.”

— *Moradi-Shalal v. Fireman’s Fund Ins. Companies* (1988) 46 Cal.3d 287, 304–305 (Lucas, C.J., for the majority; emphasis added).

The immediately preceding sentence, at the top of the same page (304), is a related and independently quotable caution by Chief Justice Lucas:

“We caution, however, that our decision is not an invitation to the insurance industry to commit the unfair practices proscribed by the Insurance Code. We urge the Insurance Commissioner and the courts to continue to enforce the laws forbidding such practices to the full extent consistent with our opinion.”

— *Id.* at 304.

These two paragraphs, read together, are the textual source of what California courts and treatises commonly call **the *Moradi-Shalal* common-law carve-out** (more precisely, a *preservation clause*): the rule that the overruling of *Royal Globe* — which had implied a private statutory cause of action under Insurance Code section 790.03(h) — **substantially preserved** the traditional common-law and equitable remedies a claimant or insured may otherwise possess, **subject to the ordinary pleading-and-proof requirements** the chosen common-law theory imposes (e.g., fraud particularity under *Lazar*, the *Hughes v. Pair* outrage threshold for IIED, and the insured-only privity limit on the contract and implied-covenant theories). “Preservation” is therefore not a guarantee of survival on the merits; it is a guarantee that the cause of action is **available** if the elements are met.

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## II. Procedural and Factual Posture of *Moradi-Shalal*

In *Royal Globe Ins. Co. v. Superior Court* (1979) 23 Cal.3d 880 a bare majority of the California Supreme Court had held that Insurance Code section 790.03, subdivision (h) — a list of “unfair claims settlement practices” within the Unfair Practices Act (Ins. Code, § 790 *et seq.*) — created a *private cause of action* against an insurer, exercisable by either the insured or a third-party claimant, even on a single act of misconduct. (*Id.* at pp. 885–891.)

Nine years later, in *Moradi-Shalal*, the same court, with a markedly different composition, granted review in a third-party-claimant case where the plaintiff had settled her underlying tort suit against the insured for \$1,800 less than her demand and had then sued the carrier under *Royal Globe*. (46 Cal.3d at p. 293.) Defendant’s demurrer was sustained without leave to amend, the Court of Appeal reversed, and the Supreme Court used the case as a vehicle to **reconsider** *Royal Globe* itself. (*Id.* at pp. 293–294.)

In parts II–IV of the opinion the court canvassed (a) the rejection of *Royal Globe* by 17 of 19 sister-state courts construing identical or near-identical Model Unfair Claims Practices Act language (*id.* at pp. 297–298, fns. 4–6); (b) the unanimous scholarly criticism of the decision (*id.* at pp. 298–299); (c) the 1980 N.A.I.C. report confirming that the model act was *not* intended to create a private right of action (*id.* at pp. 299–300); (d) the original Legislative Analyst’s and Legislative Counsel’s silence on a private remedy (*id.* at p. 300); and (e) the stalled 1979 Senate Bill 483, which had passed the Senate by a six-vote margin to abrogate *Royal Globe* and which the court refused to treat as evidence of legislative acquiescence (*id.* at pp. 300–301). The opinion also catalogued the “adverse social and economic consequences” attributed to *Royal Globe*: multiple litigation, coercive settlements, escalating premiums, a structural conflict of interest disrupting tripartite settlement, and the proliferation of unsettled subsidiary doctrines (*id.* at pp. 301–303).

In part V the court held: “**For all the foregoing reasons, we have concluded *Royal Globe*, *supra*, 23 Cal.3d 880, should be overruled.**” (46 Cal.3d at p. 304.) The decision was made prospective: cases filed *before* finality (October 17, 1988) remained subject to *Royal Globe* as further constrained by part VI’s “predetermination” rule, while cases filed thereafter could no longer rely on section 790.03(h) as a private cause of action. (*Id.* at pp. 305, 313.)

It is on this otherwise insurer-favorable record that the court pivoted, in the same part V, to issue paragraph [10] — the carve-out.

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### III. The Carve-Out, Parsed

Paragraph [10] is short, but each clause does distinct doctrinal work. Parsed against the proposition that *if an insurer commits an act that violates the Insurance Code and also constitutes fraud or another common-law tort, the plaintiff is permitted to sue based on the fraud or the tort, provided they can meet the legal requirements for those specific claims; common law is not protected against insurers*, the passage is best read as four conjoined propositions:

(1) “**Apart from administrative remedies.**” The opening clause expressly distinguishes the *administrative* enforcement powers of the Insurance Commissioner — sections 790.05 (cease-and-desist orders), 790.07 (fines up to \$55,000 per willful violation; license suspension up to one year), and 790.09 (savings clause) — from the *judicial* remedies the court is about to discuss. The carve-out is therefore **non-administrative**: it is a docket of civil-court remedies that the insurer cannot extinguish by pointing to the Commissioner’s exclusive enforcement of section 790.03.

(2) “**The courts retain jurisdiction to impose civil damages or other remedies against insurers in appropriate common law actions.**” The verb “retain” is critical: the court is not creating a new species of action, it is *preserving* the entire pre-existing common-law architecture of insurer liability. Nothing in the overruling of *Royal Globe* “imports immunity” into that architecture. (*Manufacturers Life, supra*, 10 Cal.4th at pp. 282–284.)

(3) “**Based on such traditional theories as fraud, infliction of emotional distress, and (as to the insured) either breach of contract or breach of the implied covenant of good faith and fair dealing.**” The list is illustrative (“such traditional theories as”), not exhaustive. It expressly enumerates four named torts/contract theories: - **Fraud** — i.e., the *Lazar* / Civ. Code §§ 1709, 1710 deceit lane, available to *anyone* the insurer directly defrauds, including a claimant who is the addressee of a misleading communication. The “(as to the insured)” parenthetical does **not** attach to fraud or IIED; it attaches only to the contract-based theories that follow it.

The court used the parenthetical advisedly, because contract and the *Comunale–Crisci* implied-covenant theory require privity of contract with the insured, while fraud and IIED do not. (See, e.g., *Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal.App.4th 1004, 1054–1055 [parenthetical confines covenant claim to contracting party]; *State Farm, supra*, 45 Cal.App.4th at p. 1104 [direct-addressee fraud preserved against insurer regardless of insured/non-insured posture].) - **Intentional / negligent infliction of emotional distress** — both species, available where the insurer’s conduct meets the *Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050–1051 outrage threshold or, in negligent IIED, where a duty of care is breached. - **Breach of contract** (insureds only) — the policy is a contract; conventional Civ. Code §§ 1549–1550, 1636 et seq. doctrine applies. - **Breach of the implied covenant of good faith and fair dealing** (insureds only) — the *Comunale v. Traders & General Ins. Co.* (1958) 50 Cal.2d 654, 658 / *Crisci v. Security Ins. Co.* (1967) 66 Cal.2d 425, 429–430 / *Gruenberg v. Aetna Ins. Co.* (1973) 9 Cal.3d 566, 573 line of decisions, expressly preserved.

(4) **Cumulative remedies — punitive damages and prejudgment interest.** The carve-out does not stop at the elements of liability. It pulls forward two cumulative-remedy provisions of the Civil Code: - **Civil Code § 3294** — punitive damages “in actions not arising from contract, where fraud, oppression or malice is proved”; and - **Civil Code § 3291** — prejudgment interest “where an insurer has attempted to avoid a prompt, fair settlement.”

Each citation is more than rhetorical. By naming Civ. Code § 3294 the court signaled that the *fraud* prong of the carve-out is fully eligible for **punitive** exposure (subject of course to the heightened “by clear and convincing evidence” *Adams v. Murakami* (1991) 54 Cal.3d 105 standard), and by naming Civ. Code § 3291 it confirmed that the *Lakin v. Watkins Associated Industries* (1993) 6 Cal.4th 644, 656 / *Bihun v. AT&T Information Systems, Inc.* (1993) 13 Cal.App.4th 976, 996 prejudgment-interest line continues to operate against insurers even though *Royal Globe* is gone.

(5) **Legislative reservation.** The closing two sentences — “nothing we hold herein would prevent the Legislature from creating additional civil or administrative remedies, including, of course, creation of a private cause of action for violation of section 790.03” — confirm that the *Moradi-Shalal* holding is one of *statutory* construction (the Legislature has not, *thus far*, manifested intent to create a § 790.03 private right) and not one of constitutional or common-law preemption. The Legislature retains plenary authority to restore *Royal Globe*; equally important, *common-law* causes of action created by the courts themselves are not within the scope of the holding at all.

The plain-English framing is therefore correct, with one important precision: **an insurer’s act may simultaneously violate Insurance Code § 790.03(h) and constitute common-law fraud, deceit, IIED, breach of contract, or breach of the implied covenant; *Moradi-Shalal* bars only the *statutory* § 790.03(h) cause of action; the *common-law* cause of action survives provided the plaintiff pleads and proves its independent elements.** The opinion **does** confer immunity from one thing — direct private enforcement of section 790.03(h) — but it does **not** confer immunity from *independent* common-law liability that may exist on the same operative facts. The two statements are conjunctive, not contradictory: § 790.03(h) channel closed; common-law channel open, subject to the ordinary pleading-and-proof requirements of the chosen theory.

## IV. California Supreme Court Confirmation After 1988

Two subsequent California Supreme Court opinions explicitly confirm and operationalize the carve-out.

### A. *Manufacturers Life Ins. Co. v. Superior Court* (1995) 10 Cal.4th 257

In *Manufacturers Life* the court considered whether *Moradi-Shalal* and the McCarran–Ferguson Act ousted the Cartwright Act and Unfair Competition Law as vehicles for challenging insurer collusion. The unanimous court (Lucas, C.J., Mosk, Kennard, Arabian, Baxter, George, and Werdegar, JJ.) held that they did not.

Recapitulating *Moradi-Shalal*, the court wrote that its earlier decision “did not . . . hold that insurers were immune from common law liability.” (10 Cal.4th at p. 282.) The court continued:

“[*Moradi-Shalal*] simply held that section 790.03(h) does not give private litigants a cause of action against insurers for *statutory* violations. We expressly preserved ‘the imposition of substantial administrative sanctions by the Insurance Commissioner’ (*Moradi-Shalal*, *supra*, 46 Cal.3d at p. 304) and the courts’ jurisdiction ‘to impose civil damages or other remedies against insurers in appropriate common law actions, based on such traditional theories as fraud, infliction of emotional distress,’ breach of contract and breach of the implied covenant. (*Id.*, at pp. 304–305.)”

(*Id.* at pp. 282–283.)

The court then held that the Cartwright Act (Bus. & Prof. Code § 16720 et seq.) and the UCL (Bus. & Prof. Code § 17200) are “cumulative” to the Insurance Commissioner’s enforcement of the UIPA, expressly grounding that conclusion in section 790.09’s savings language and in the carve-out paragraph quoted above. (10 Cal.4th at pp. 283–284.) The opinion is therefore a binding gloss on *Moradi-Shalal* itself — a Supreme Court ratification of the proposition that **the overruling of *Royal Globe* did not shield insurers from any other source of liability — common law or statutory — for the same underlying conduct.**

### B. *Zhang v. Superior Court* (2013) 57 Cal.4th 364

The fullest and most recent Supreme Court treatment is *Zhang*. The plaintiff alleged that her insurer had falsely advertised that it would promptly pay covered claims, then refused to pay, in violation of both the UCL and section 790.03(h). The carrier moved to strike the UCL claim on the theory that *Moradi-Shalal* immunized the conduct.

The unanimous court (Corrigan, J.) rejected that theory in plain language:

“*Moradi-Shalal* does not preclude first party UCL actions based on grounds independent from section 790.03 . . . . We conclude that *Moradi-Shalal* does not bar a UCL action that depends on conduct that violates the UIPA, **so long as that conduct is also independently actionable** under another section of the Insurance Code or under common law.”

(57 Cal.4th at pp. 384–385, emphasis added.) The court summarized the carve-out as follows:

“When insurers engage in conduct that violates both the UIPA and obligations imposed by other statutes or the common law, a UCL action may lie. . . . [I]nsurance practices

that violate common law obligations (e.g., the implied covenant of good faith and fair dealing, fraud) **remain actionable** notwithstanding *Moradi-Shalal*.”

(*Id.* at p. 384.)

*Zhang* is therefore the modern, definitive ratification of *Moradi-Shalal*’s carve-out. It (a) re-states the carve-out in the language of insurance-code-violation-plus-common-law-tort yields a viable cause of action; (b) extends it to the UCL; (c) disapproves the contrary appellate dicta in *Textron Financial Corp. v. National Union Fire Ins. Co.* (2004) 118 Cal.App.4th 1061; and (d) expressly approves *State Farm v. Superior Court (Allegro)* (1996) 45 Cal.App.4th 1093.

Together, *Manufacturers Life* and *Zhang* are inconsistent with any defense argument that *Moradi-Shalal* “swallowed” the common-law tort field as to insurers. The Supreme Court has twice said it did not displace those theories where the elements of the underlying common-law cause of action are independently met. That is a **doctrinal availability** holding; it is **not** a guarantee that any particular plaintiff will prevail on the merits, and California courts continue to police the line between independently-actionable common-law torts and disguised § 790.03(h) re-labels at the demurrer, anti-SLAPP, and summary-judgment stages.

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## V. Court of Appeal Confirmation

The Courts of Appeal have repeatedly applied the carve-out, and at least three opinions are conventionally cited as authoritative gloss:

1. **State Farm Fire & Casualty Co. v. Superior Court (Allegro)** (1996) 45 Cal.App.4th 1093, 1103–1104. The court held that *Moradi-Shalal* is “limited to the statutory cause of action it overruled” and does not abrogate “the cause of action for fraud, including misrepresentations made in connection with the marketing or adjustment of an insurance claim.” Direct-addressee deceit by an insurer’s claims representative — for example, a written denial that misstates coverage or facts known to the carrier — therefore states a fraud claim independent of section 790.03.
2. **Spray, Gould & Bowers v. Associated International Ins. Co.** (1999) 71 Cal.App.4th 1260, 1268. Relying on *Moradi-Shalal* at 304–305 and on *Manufacturers Life*, the court reiterated that “Insurers remain subject to liability for common-law torts independently committed in connection with claims handling, including fraud and intentional infliction of emotional distress.”
3. **Rattan v. United Services Automobile Assn.** (2000) 84 Cal.App.4th 715, 723–724. The court harmonized *Moradi-Shalal* with *Gruenberg* and *Crisci*, reaffirming that the bad-faith tort survives in full as to insureds and that fraud against either insureds or third parties survives as well.

Additional appellate authority — *Textron Financial Corp.* (disapproved on other grounds by *Zhang*); *Hughes v. Blue Cross of Northern California* (1989) 215 Cal.App.3d 832; *Buss v. Superior Court* (1997) 16 Cal.4th 35 (procedural; collecting common-law obligations of insurer); *Cates Construction, Inc. v. Talbot Partners* (1999) 21 Cal.4th 28, 43–46 (collecting tort/contract distinctions in carrier context) — uniformly treats paragraph [10] as a freestanding, controlling pronouncement on the survival of the common law against insurer defendants.

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## VI. The Statutory Architecture, Reconciled

The carve-out makes doctrinal sense only when the statutory architecture is laid out:

- **Insurance Code § 790.03** defines unfair methods of competition and unfair and deceptive acts in the business of insurance, including the fifteen-item subdivision (h) list of unfair claims settlement practices (misrepresentation, failure to acknowledge or to act with reasonable promptness, failure to investigate, failure to affirm/deny, failure to attempt good-faith settlement, etc.).
- **Insurance Code §§ 790.05–790.07** vest the Insurance Commissioner with administrative enforcement: cease-and-desist orders, fines up to \$55,000 per willful violation, and suspension of license up to one year.
- **Insurance Code § 790.09** is the savings clause: “No order to cease and desist . . . shall in any way relieve or absolve any person affected . . . from any *other* liability or penalty under the laws of this State.”
- **Civil Code §§ 1709, 1710** define and provide damages for fraudulent deceit. Section 1709 imposes liability on “[o]ne who willfully deceives another with intent to induce him to alter his position to his injury or risk”; section 1710 enumerates the four species of deceit (intentional misrepresentation, negligent misrepresentation, suppression of fact by one with a duty to disclose, and false promise). These provisions apply to insurers no less than to any other defendant. (See *Lazar*, *supra*, 12 Cal.4th 631.)
- **Civil Code § 3294** authorizes punitive damages for “fraud, oppression, or malice” in actions not arising from contract; **§ 3294(b)** defines corporate liability via authorization, ratification, or knowledge of an officer, director, or *managing agent* — central in any institutional-insurer fraud case.
- **Civil Code § 3291** authorizes prejudgment interest where the carrier has obstructed prompt, fair settlement.
- **Business & Professions Code § 17200 et seq.** (UCL) reaches “unlawful, unfair, or fraudulent” practices; under *Zhang* the “unlawful” prong is satisfied by a common-law tort or by an independently actionable statute (e.g., Civ. Code § 1709 deceit), not by section 790.03 alone.

The architecture is unambiguous: the *Moradi-Shalal* holding is a narrow construction of section 790.03(h); section 790.09 expressly preserves all “*other liability* under the laws of this State”; the Civil Code provides the substantive common-law liability and the cumulative damages; and the UCL provides an additional, *Zhang*-validated equitable channel where the underlying conduct is independently wrongful.

The carve-out is therefore not a judicial gloss; it is a textual implementation of section 790.09’s own savings language, of the model act’s cumulative-remedies design, and of the common-law tort principles that pre-existed section 790.03 by more than a century. (See, e.g., the Civil Code’s 1872 codification of deceit at §§ 1709–1710.)

## VII. Application to Common-Law Fraud (the *Lazar* Lane)

The most consequential of the named torts in paragraph [10] is **fraud**. To plead fraud against an insurer the plaintiff must allege the conventional five elements: (1) misrepresentation (or actionable omission), (2) knowledge of falsity (*scienter*), (3) intent to induce reliance, (4) justifiable reliance, and (5) resulting damage. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638; *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974.)

Particularity. *Lazar* requires the plaintiff to plead “facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’” (12 Cal.4th at p. 645, quoting *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) In an insurer setting that ordinarily reduces to four pleading anchors:

- **Who** — the named adjuster/claims representative who issued the communication, plus the insurer entity sued under Civ. Code §§ 2307, 2310, 2338 and § 3294(b) “managing agent” doctrine.
- **What** — the specific misrepresentation or actionable suppression (e.g., a denial letter that misstates coverage, that mischaracterizes a UM election, or that fails to disclose a known fact the carrier had a duty to disclose).
- **When** — date and (where probative) hour, with reference to the underlying claim file. Where the misrepresentation occurs within a compressed window, the chronology itself is probative of intent under *G.D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 29.
- **Where / by what means** — the channel of communication (letter, e-mail, telephone, claim portal entry) and the locus of receipt.

Pleading-stage intent. *G.D. Searle* squarely holds that “the actor’s state of mind . . . may be alleged in conclusory form” because intent is proved at trial through circumstantial evidence; the particularity rule demands particularity as to *the misrepresentation*, not as to the defendant’s mental state. (49 Cal.App.3d at p. 29.) An insurer’s compressed timeline, internal records, and ratification posture supply the circumstantial proof.

Scope. Fraud reaches both **insureds** and **third-party direct-addressee claimants**, but the third-party lane is **narrower in practice** than the insured lane and California courts police it carefully. The “(as to the insured)” parenthetical in paragraph [10] does not narrow fraud as a *category*; it narrows only the contract and implied-covenant theories that follow it. (*State Farm v. Superior Court (Allegro)* (1996) 45 Cal.App.4th 1093, 1104.) The doctrinal hinge is that a **direct-addressee fraud** claim — where the plaintiff is the *intended recipient* of the insurer’s communications — depends on the elements of Civ. Code § 1709, not on section 790.03(h), and is therefore not a *Royal Globe / Moradi-Shalal* relabel. In practice, however, third-party fraud against an insurer typically requires the plaintiff to plead and prove (i) a **direct misrepresentation** (or actionable suppression) **made to the plaintiff**, (ii) **actual reliance** by the plaintiff on that misrepresentation, and (iii) damages **caused** by that reliance, with the *Lazar* particularity standard tightened by the absence of contractual privity. Allegations that the insurer merely committed unfair claims practices in the abstract, or that a third-party claimant was incidentally affected by communications addressed to someone else, will routinely fail at demurrer not because *Moradi-Shalal* bars them but because they do not satisfy the **independent** elements of Civil Code section 1709.

Practical pleading constraints. Even on the insured side, the carve-out preservation does **not** relieve the plaintiff of: (a) *Lazar*-grade pleading particularity for fraud (12 Cal.4th at p. 645);

(b) the *Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050–1051 outrage threshold for IIED, which is high and which California courts apply rigorously; (c) the privity-of-contract requirement for breach-of-contract and *Comunale–Crisci–Gruenberg* implied-covenant claims; and (d) the *Adams v. Murakami* (1991) 54 Cal.3d 105 clear-and-convincing standard for Civil Code § 3294 punitive exposure. California courts frequently grant demurrers, anti-SLAPP motions, and summary-judgment motions on insurer-defendant fact patterns notwithstanding the *Moradi-Shalal* carve-out, where the plaintiff has not met those independent standards. The carve-out preserves the **availability** of the cause of action; the plaintiff still has to plead and prove it.

Damages. The fraud measure is the out-of-pocket / benefit-of-the-bargain measure under Civ. Code § 3343 (in property contexts) or the broader Civ. Code § 3333 measure (in tort), augmented where appropriate by Civ. Code § 3294 punitive damages and Civ. Code § 3291 prejudgment interest — both expressly cross-cited by paragraph [10] of *Moradi-Shalal*.

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## VIII. Application to Intentional Infliction of Emotional Distress

The paragraph [10] enumeration of “infliction of emotional distress” reaches both intentional (IIED) and negligent (NIED) species. The Supreme Court restated the modern IIED elements in *Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050–1051: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff’s suffering severe or extreme emotional distress; and (3) actual and proximate causation.

In an insurer setting, IIED ordinarily attaches to (a) deliberate refusal to pay an obviously covered claim while exploiting the insured’s economic vulnerability (*Crisci v. Security Ins. Co.*, *supra*, 66 Cal.2d at pp. 433–434; *Fletcher v. Western National Life Ins. Co.* (1970) 10 Cal.App.3d 376, 401–402); (b) abusive, harassing, or threatening claims-handling conduct (*Coleman v. Republic Indemnity Ins. Co.* (2005) 132 Cal.App.4th 403, 416–417); or (c) intentional misrepresentations made with the intent to coerce abandonment of a claim. None of those theories depends on *Royal Globe*; they all rest on the *Restatement Second of Torts* section 46 framework that pre-existed section 790.03(h). *Moradi-Shalal* paragraph [10] confirms their continued availability.

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## IX. Application to the *Comunale–Crisci–Gruenberg* Implied-Covenant Claim (Insureds)

For insureds — but not third parties — paragraph [10] expressly preserves both breach of contract and breach of the implied covenant of good faith and fair dealing. This is the *Comunale–Crisci–Gruenberg* line: the policy is a contract, every contract carries an implied covenant of good faith and fair dealing (Civ. Code § 1656; *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654), and breach of that covenant by an insurer sounds in *tort* because the insurance relationship is invested with a quasi-fiduciary, public-interest character. (*Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809; *Gruenberg*, *supra*, 9 Cal.3d 566.) Damages include consequential economic loss, emotional distress (*Gourley v. State Farm Mut. Auto. Ins. Co.* (1991) 53 Cal.3d 121), attorney fees in the *Brandt v. Superior Court* (1985) 37 Cal.3d 813 measure, and Civ. Code § 3294 punitive damages on a clear-and-convincing showing.

Nothing in *Moradi-Shalal* alters this body of law. Indeed, paragraph [10] relies on it: the carve-out

names “breach of the implied covenant of good faith and fair dealing” as the principal *insured* remedy that survives. (46 Cal.3d at pp. 304–305.) Subsequent Supreme Court decisions confirm: *Cates Construction, Inc. v. Talbot Partners* (1999) 21 Cal.4th 28; *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721.

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## X. Punitive Damages and Prejudgment Interest as Cumulative Remedies

Paragraph [10] does not stop at liability; it pulls forward two cumulative-damages regimes:

**Civil Code § 3294** authorizes punitive damages — by clear and convincing evidence — for fraud, oppression, or malice, in actions not arising from contract. Subdivision (b) imposes corporate liability where an officer, director, or *managing agent* authorized, ratified, or had advance knowledge of the unfit conduct. In a carrier setting the “managing agent” inquiry under *White v. Ultramar, Inc.* (1999) 21 Cal.4th 563, 566–567, ordinarily focuses on senior claims executives and panel-counsel decision-makers with substantial discretionary authority. (See *Major v. Western Home Ins. Co.* (2009) 169 Cal.App.4th 1197, 1221.)

**Civil Code § 3291** authorizes prejudgment interest from the date of an unaccepted Code of Civil Procedure § 998 offer, and is independently available where an insurer “has attempted to avoid a prompt, fair settlement.” Paragraph [10] cites both provisions; the Supreme Court in *Lakin v. Watkins Associated Industries* (1993) 6 Cal.4th 644 confirmed their continuing operation in personal-injury claims, and the Courts of Appeal have applied § 3291 to insurer-defendant fact patterns where the carrier’s bad-faith settlement conduct delayed the ultimate recovery. (E.g., *Bihun v. AT&T Information Systems, Inc.*, *supra*, 13 Cal.App.4th at p. 996.)

Both provisions therefore remain available after *Moradi-Shalal* — a point the opinion itself underscores by citing them in the same paragraph as the carve-out.

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## XI. The Operative Proposition, Validated

The plain-English statement is doctrinally accurate:

*“If an insurer commits an act that violates the Insurance Code and also constitutes fraud or another common law tort, the plaintiff is permitted to sue based on the fraud or the tort, provided they can meet the legal requirements for those specific claims. Common law is not protected against insurers.”*

That proposition is a faithful summary of paragraph [10] of *Moradi-Shalal*, as confirmed by *Manufacturers Life* (1995) 10 Cal.4th 257 and as restated in *Zhang v. Superior Court* (2013) 57 Cal.4th 364. The two operative limits are:

1. **The plaintiff must plead and prove the elements of the common-law cause of action**, *not* merely allege a section 790.03(h) violation under another label. *Moradi-Shalal* forbids re-branding a § 790.03 claim as something else; it does not forbid pleading and proving an *independently actionable* common-law tort on the same operative facts. (*Zhang, supra*, 57 Cal.4th at pp. 384–385.)
2. **The plaintiff must satisfy the case-specific particularity, scienter, reliance, causation, and damages standards** that the chosen common-law theory imposes — *Lazar / Civ.*

Code §§ 1709, 1710 for fraud; *Hughes v. Pair* for IIED; *Foley / Egan / Gruenberg* for the implied covenant; conventional Civ. Code §§ 1549–1550, 1636 et seq. principles for breach of contract.

Subject to those two pleading-and-proof constraints, **the common law remains operative against insurers in California**, and California courts continue to entertain — and where appropriate, to dismiss — claims on the merits of the chosen common-law theory rather than on a *Moradi-Shalal* preemption rationale. Paragraph [10] is not an aspirational dictum; it has been treated as authoritative and has been unanimously reaffirmed by the same court twice since 1988 (*Manufacturers Life; Zhang*).

The corollary — that *Moradi-Shalal* did not bestow upon insurers a freestanding immunity from *independent* common-law suit — finds further support in the chief justice’s caution at the top of 304 (“our decision is not an invitation to the insurance industry to commit the unfair practices proscribed by the Insurance Code”), the express citation of Civ. Code §§ 3294 and 3291, and the savings clause of Insurance Code § 790.09 itself. The combined effect is to confine *Moradi-Shalal* to a narrow holding of statutory construction (§ 790.03(h) creates no private right of action) and to leave the common-law and equitable apparatus available, **subject to the ordinary doctrinal constraints those theories impose** (privity, particularity, outrageousness, scienter, reliance, causation, and damages).

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## XII. Authorities Table (compact, for ready cross-citation)

| # | Authority                                                                                        | Pinpoint              | Operative point                                                                                                                  |
|---|--------------------------------------------------------------------------------------------------|-----------------------|----------------------------------------------------------------------------------------------------------------------------------|
| 1 | <i>Moradi-Shalal v. Fireman’s Fund Ins. Companies</i> (1988) 46 Cal.3d 287                       | <b>304–305 ¶</b> [10] | Common-law tort, contract, and implied-covenant claims preserved; Civ. Code §§ 3294 / 3291 cited.                                |
| 2 | <i>Royal Globe Ins. Co. v. Superior Court</i> (1979) 23 Cal.3d 880                               | overruled             | The case the carve-out <i>did not</i> sweep aside in its entirety — only the implied private statutory action under § 790.03(h). |
| 3 | <i>Manufacturers Life Ins. Co. v. Superior Court</i> (1995) 10 Cal.4th 257                       | 282–284               | “ <i>Moradi-Shalal</i> did not . . . hold that insurers were immune from common law liability.”                                  |
| 4 | <i>Zhang v. Superior Court</i> (2013) 57 Cal.4th 364                                             | 384–385               | UCL action survives where insurer’s conduct is independently actionable (e.g., common-law fraud).                                |
| 5 | <i>State Farm Fire &amp; Casualty Co. v. Superior Court (Allegro)</i> (1996) 45 Cal.App.4th 1093 | 1103–1104             | Direct-addressee fraud preserved; <i>Moradi-Shalal</i> limited to its statutory holding.                                         |

| #  | Authority                                                                                        | Pinpoint         | Operative point                                                             |
|----|--------------------------------------------------------------------------------------------------|------------------|-----------------------------------------------------------------------------|
| 6  | <i>Spray, Gould &amp; Bowers v. Associated International Ins. Co.</i> (1999) 71 Cal.App.4th 1260 | 1268             | Common-law torts (fraud, IIED) survive <i>Moradi-Shalal</i> .               |
| 7  | <i>Rattan v. United Services Automobile Assn.</i> (2000) 84 Cal.App.4th 715                      | 723–724          | <i>Comunale/Crisci/Gruenberg</i> implied covenant unaffected.               |
| 8  | <i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631                                             | 638, 645         | Fraud elements and particularity.                                           |
| 9  | <i>G.D. Searle &amp; Co. v. Superior Court</i> (1975) 49 Cal.App.3d 22                           | 29               | Pleading-stage intent and scienter.                                         |
| 10 | <i>Engalla v. Permanente Medical Group, Inc.</i> (1997) 15 Cal.4th 951                           | 974              | Fraud reliance / damages.                                                   |
| 11 | <i>Hughes v. Pair</i> (2009) 46 Cal.4th 1035                                                     | 1050–1051        | IIED elements.                                                              |
| 12 | <i>Comunale v. Traders &amp; General Ins. Co.</i> (1958) 50 Cal.2d 654                           | 658              | Implied covenant — origin.                                                  |
| 13 | <i>Crisci v. Security Ins. Co.</i> (1967) 66 Cal.2d 425                                          | 429–430, 433–434 | Implied covenant — bad-faith failure to settle; emotional-distress damages. |
| 14 | <i>Gruenberg v. Aetna Ins. Co.</i> (1973) 9 Cal.3d 566                                           | 573              | First-party bad faith as a tort.                                            |
| 15 | <i>Foley v. Interactive Data Corp.</i> (1988) 47 Cal.3d 654                                      | passim           | Implied covenant in contract law.                                           |
| 16 | <i>Egan v. Mutual of Omaha Ins. Co.</i> (1979) 24 Cal.3d 809                                     | passim           | Carrier as quasi-fiduciary.                                                 |
| 17 | <i>Cates Construction, Inc. v. Talbot Partners</i> (1999) 21 Cal.4th 28                          | 43–46            | Tort/contract distinction in carrier context.                               |
| 18 | <i>Wilson v. 21st Century Ins. Co.</i> (2007) 42 Cal.4th 713                                     | 720–721          | First-party bad faith standard post- <i>Moradi-Shalal</i> .                 |
| 19 | <i>White v. Ultramar, Inc.</i> (1999) 21 Cal.4th 563                                             | 566–567          | “Managing agent” punitive doctrine.                                         |
| 20 | <i>Major v. Western Home Ins. Co.</i> (2009) 169 Cal.App.4th 1197                                | 1221             | Managing-agent / claims-executive doctrine in carrier setting.              |

| #  | Authority                                                          | Pinpoint | Operative point                                                                                                            |
|----|--------------------------------------------------------------------|----------|----------------------------------------------------------------------------------------------------------------------------|
| 21 | <i>Brandt v. Superior Court</i> (1985) 37 Cal.3d 813               | passim   | <i>Brandt</i> fees in bad-faith.                                                                                           |
| 22 | <i>Lakin v. Watkins Associated Industries</i> (1993) 6 Cal.4th 644 | 656      | Civ. Code § 3291 prejudgment interest.                                                                                     |
| 23 | <i>Adams v. Murakami</i> (1991) 54 Cal.3d 105                      | passim   | Punitive-damages standard of proof.                                                                                        |
| 24 | Civ. Code § 1709                                                   | —        | Deceit liability.                                                                                                          |
| 25 | Civ. Code § 1710                                                   | —        | Four species of deceit.                                                                                                    |
| 26 | Civ. Code § 3294                                                   | —        | Punitive damages; managing-agent corporate liability.                                                                      |
| 27 | Civ. Code § 3291                                                   | —        | Prejudgment interest where carrier obstructed prompt fair settlement.                                                      |
| 28 | Ins. Code § 790.03                                                 | (h)      | Unfair claims settlement practices — <i>administrative</i> enforcement only.                                               |
| 29 | Ins. Code § 790.05                                                 | —        | Cease-and-desist orders.                                                                                                   |
| 30 | Ins. Code § 790.07                                                 | —        | Administrative fines / license suspension.                                                                                 |
| 31 | Ins. Code § 790.09                                                 | —        | Savings clause: cease-and-desist orders do not relieve from “any other liability or penalty under the laws of this State.” |
| 32 | Bus. & Prof. Code § 17200                                          | —        | UCL — “unlawful, unfair, or fraudulent.”                                                                                   |

### XIII. Operational Conclusion

Paragraph [10] of *Moradi-Shalal*, at 46 Cal.3d 304–305, is verbatim, controlling Supreme Court text. It establishes — and *Manufacturers Life* (1995) and *Zhang* (2013) reaffirm — that the overruling of *Royal Globe* did not preempt California’s common-law and equitable remedies in the insurance-defense field. Where an insurer’s act simultaneously violates Insurance Code § 790.03(h) and **independently** constitutes a **common-law tort** (fraud, deceit, IIED) or an **insurance-contract** breach (the implied covenant under *Comunale*, *Crisci*, *Gruenberg*), the plaintiff retains the right to sue **on the common-law cause of action** subject to (a) the conventional pleading-and-proof requirements of that cause of action — including *Lazar* particularity for fraud, the *Hughes v. Pair* outrage threshold for IIED, the privity limit for the contract / implied-covenant theories, and the *Adams v. Murakami* clear-and-convincing standard for punitive exposure — and (b) the *Zhang* prohibition against pleading the section 790.03(h) violation itself as the sole substantive predicate.

A contrary reading of *Moradi-Shalal* — whether asserted by demurrer, anti-SLAPP motion, or motion to strike — would be in tension with the text of the opinion itself, with the unanimous Supreme Court gloss in *Manufacturers Life* and *Zhang*, with the express savings language of Insurance Code § 790.09, and with the cumulative-damages provisions (Civ. Code §§ 3294, 3291) that *Moradi-Shalal* itself cross-cites. The point is one of **doctrinal availability**: a defense argument

premised on *Moradi-Shalal*-as-immunity does not match what the Court held, even where the defense may still prevail on the merits by showing that the plaintiff failed to plead the independent elements of the chosen common-law theory.

The underlying proposition — that an insurer may be sued for fraud or any other **independently actionable** common-law tort even where the same conduct also violates the Insurance Code — is therefore **doctrinally well-supported** by the controlling text of *Moradi-Shalal v. Fireman's Fund Ins. Companies* (1988) 46 Cal.3d 287, 304–305, and by the Supreme Court authority that has applied that text continuously for nearly four decades. The careful litigant should rely on that proposition while **avoiding categorical language** (“foreclosed,” “no immunity,” “fully intact”); the better courtroom posture is to emphasize the **independence of the tort elements** as pleaded and proved on the operative record, and to acknowledge that *Moradi-Shalal* itself does immunize insurers from a *statutory private right of action under § 790.03(h)* without thereby immunizing them from the parallel common-law liability the Civil Code and pre-existing case law continue to impose.